

giving him ample security on which to levy in the event that the enterprise proved a failure. If the business became unable to pay his claim, he could take over the mortgaged property and pay himself out of that. This arrangement would be excellent if it worked, but in practice it rarely proves to be feasible. For this there are three reasons:

1. The shrinkage of property values when the business fails.
2. The difficulty of asserting the bondholders' supposed legal rights.
3. The delays and other disadvantages incident to a receivership.

Lien Is No Guarantee Against Shrinkage of Values. The conception of a mortgage lien as a guaranty of protection independent of the success of the business itself is in most cases a complete fallacy. In the typical situation, the value of the pledged property is vitally dependent on the earning power of the enterprise. The bondholder usually has a lien on a railroad line, or on factory buildings and equipment, or on power plants and other utility properties, or perhaps on a bridge or hotel structure. These properties are rarely adaptable to uses other than those for which they were constructed. Hence if the enterprise proves a failure its fixed assets ordinarily suffer an appalling shrinkage in realizable value. For this reason the established practice of stating the original cost or appraised value of the pledged property as an inducement to purchase bonds is entirely misleading. The value of pledged assets assumes practical importance only in the event of default, and in any such event the book figures are almost invariably found to be unreliable and irrelevant. This may be illustrated by Seaboard-All Florida Railway First Mortgage 6s, selling in 1931 at 1 cent on the dollar shortly after completion of the road.⁵

Impracticable to Enforce Basic Legal Rights of Lien Holder. In cases where the mortgaged property is actually worth as much as the debt, the bondholder is rarely allowed to take possession and realize upon it. It must be recognized that the procedure following default on a corporation bond has come to differ materially from that customary in the case of a mortgage on privately owned property. The basic legal rights of the lien holder are supposedly the same in both situations. But in practice we find a very definite disinclination on the part of the courts to permit corporate bondholders to take over properties by foreclosing on their

⁵ See Appendix Note 7 for supporting data.